

VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Macro Overview:

Right now, everyone is on high alert. Europe is being forced to ramp up military spending just to keep Russia at bay, shifting the continent's fiscal priorities toward defense. A major vulnerability is technology. Europe remains dangerously reliant on American satellites and defense systems to protect itself.

At the same time, tensions are boiling over in the Caribbean as the Trump administration continues its blockades and direct strikes on Venezuelan soil. This is sending shockwaves through the region, hitting Cuba the hardest. The island relies almost entirely on Venezuelan oil to keep its authoritarian regime running, and as that lifeline is squeezed, the stability of the entire region sits on an edge.

Annual Market Performance:

	Annual Performance
S&P 500	+16.68%
TSX	+27.37%
	2025 Ending Yield
U.S. 10 Year Treasury Yield	4.159%
Canada 10 Year Bond Yield	3.435%

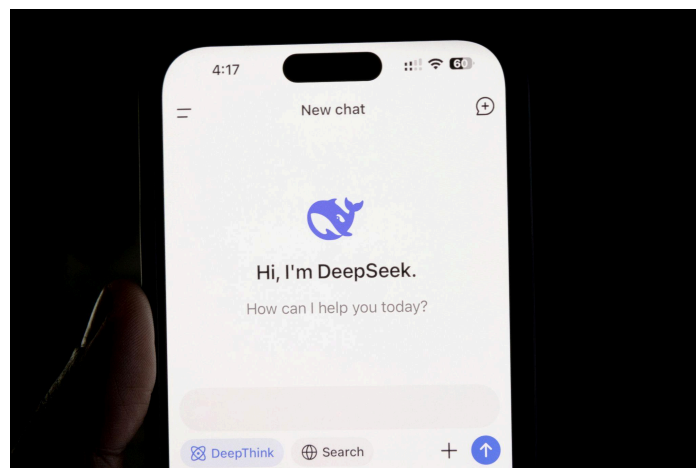
Merry Christmas and a happy new year to all our readers!

In this week's edition, we'll do a recap of the year 2025 through the financial market.



[January](#) [February](#) [March](#) [April](#) [May](#) [June](#) [July](#) [August](#) [September](#) [October](#) [November](#) [December](#)

Investors started the year with the **"DeepSeek" shock**. For the first time, Western heavyweights like OpenAI, Gemini, and Grok were being challenged by a Chinese startup that could match their performance at a fraction of the cost. **It questioned the assumption that building top-tier AI required a multibillion-dollar "entry fee"**. North American AI stocks suffered and in some cases dropped more than 13%.



January **February** March April May June July August September October November December

The "Three Amigos" partnership fractured in February when President Trump signed three executive orders **imposing a 25% tariff on all Canadian and Mexican exports**. Justified as a response to a national emergency over drug smuggling, the move sent shockwaves through the stock market. For decades, these three economies have built their supply chains on the assumption of open borders and deep interconnectedness. It created a **North American automobile** crisis, as its entire **cross-border manufacturing** model was effectively broken overnight.



January February **March** April May June July August September October November December

In March the Trump administration introduced **25% tariffs on all imported steel and aluminum**. Businesses were not able to provide investors guidance for their short term profitability as they wouldn't know how much it could cost them to operate as these tariffs kicked in. Investors were looking to increase their exposure to defensive **investments like utilities, healthcare, and gold**.



JanuaryFebruaryMarch **April** MayJuneJulyAugustSeptemberOctoberNovemberDecember

April was defined by the uncertainty of "**Liberation Day**," as the Trump administration's global tariff rollout triggered a historic downturn in the markets. **He imposed 10% global tariffs and reciprocal tariffs to 57 nations with large trade deficits with the U.S.** The **S&P 500** and **Nasdaq** suffered **record-breaking losses**, eliminating trillions in value almost overnight. While the administration eventually offered a 90-day pause for most nations to stabilize the bleeding, the damage was done. **The global trade order shifted from open cooperation to a state of permanent uncertainty.**



Country	Tariffs Charged to the U.S.	U.S. Reciprocal Tariffs
China	67%	34%
European Union	39%	30%
Germany	30%	46%
Taiwan	64%	32%
Japan	46%	24%
India	53%	26%
South Korea	30%	23%
Chad	72%	36%
Switzerland	61%	31%
Indonesia	64%	32%
Malaysia	47%	24%
	27%	19%
	10%	10%
	60%	30%
	10%	10%
	74%	37%
	10%	10%
	33%	17%
	34%	17%
	10%	10%

JanuaryFebruaryMarchApril **May** JuneJulyAugustSeptemberOctoberNovemberDecember

After the chaos of April, the global economy partially **recovered as the Trump administration shifted from threats to negotiations**. On May 12, the U.S. and China shocked the world by agreeing to a **90-day tariff pause**, slashing rates from the "Liberation Day" highs back toward 30%. This was considered a massive improvement as most Chinese imports in April were facing a combined tariff of 145%. This agreement triggered a massive relief rally, with the **S&P 500 (+6.33%)** and **Nasdaq (+11.1%)**.



NASDAQ composite January 2025 to July 2025

JanuaryFebruaryMarchAprilMay **June** JulyAugustSeptemberOctoberNovemberDecember

In June 2025, the global economy was dominated by the energy market as the "**Twelve-Day War**" emerged in the Middle East. Following Israeli and U.S. strikes on Iranian nuclear facilities, **WTI crude prices soared by 20%**, briefly touching \$95 a barrel as traders braced for a total shutdown of the Strait of Hormuz. This massive "war premium" collapsed when the ceasefire was brokered on June 24th.



JanuaryFebruaryMarchAprilMayJune **July** AugustSeptemberOctoberNovemberDecember



July marked crypto's return to the institutional conversation, and **Coinbase** became the market's clearest proxy for that shift. Renewed inflows into spot Bitcoin ETFs and improving regulatory clarity pushed Coinbase higher, signaling **a sharp rebound in risk appetite after months of caution**.

JanuaryFebruaryMarchAprilMayJune July **August** SeptemberOctoberNovemberDecember

Early August was characterized by the beginning of **investor anxiety around AI infrastructure, capacity constraints, and capital intensity**. And no company reflected this turn of sentiment better than **NVIDIA Corp.** The stock became a battleground between long-term belief in AI's inevitability and short-term fears about power shortages, supply limits, and valuation fatigue.



JanuaryFebruaryMarchAprilMayJune July August **September** OctoberNovemberDecember

September marked the moment markets stopped debating **whether rates were restrictive and started pricing how long that stance could hold**. Long-duration U.S. Treasuries rallied as investors anticipated a monetary policy recalibration, making the **iShares 20+ Year Treasury Bond ETF** the clearest expression of shifting expectations. After months of pressure from higher-for-longer fears, bonds regained relevance as both a hedge and a directional bet on slowing growth.



JanuaryFebruaryMarchAprilMayJune JulyAugustSeptember **October** NovemberDecember

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Saudi Aramco



October 2025 shows us how energy markets still anchor global risk sentiment, and no stock embodied that better than **Saudi Aramco**. Faced with lower and stable crude prices, as well as strategic price cuts to defend its market share, Aramco's share action reflected both **the indispensability of oil demand in a supply-rich backdrop; the state-owned energy giant stood as October's barometer of oil-market stress and resilience.**

JanuaryFebruaryMarchAprilMayJune JulyAugustSeptemberOctober **November** December

November captured the market's uneasy relationship with defense spending, and few stocks reflected that tension better than **Lockheed Martin**. While the company announced deeper expansion into AI-enabled defense and autonomy technologies, investor sentiment remained cautious, with **some analysts, including J.P. Morgan, suggesting that capital could find better risk-reward elsewhere in the sector.** Lockheed's size and earnings stability offered reassurance, but the stock's muted response suggested uncertainty about the durability of future U.S. defense budgets.



[January](#)[February](#)[March](#)[April](#)[May](#)[June](#)[July](#)[August](#)[September](#)[October](#)[November](#) **[December](#)**

December closed the year with a much-expected and clear signal: consumer spending remains a key driver of U.S. growth, and **Costco Wholesale** stood at its center. Strong sales and rising membership revenue reflected **resilience among higher-income households, helping sustain GDP momentum even as broader economic signals softened**. Costco's December performance captured both the durability of the U.S. consumer and the growing unevenness beneath it.

